

Table 75.5 Trading Tactics

Description	Bull Market	Bear Market
Hit ETA & EPA	36%	Not measured
Hit EPA	37%	41%
Stopped out	56%	44%
Ultimate low	7%	14%
Point 1	68%	76%
Point 2	27%	37%
Point 3	86%	92%
Point 4	51%	57%

Sample Trade

Figure 75.4 shows how Miles made money trading the Wolfe wave.

I show the Wolfe wave as turns 1 through 5. At turn 5, Miles studied the pattern. “I liked how price climbed from the June low.” He also liked how volume was higher at C (on the volume scale) than most of the days of the preceding month.

He drew the EPA line by connecting turns 1 and 4. Because lines 1–3–5 and 2–4 were almost parallel, he ignored the ETA because the apex would be too far away.

The next day, before the market opened, he saw that the bid–asked range was likely to show the stock opening lower. “I decided to short the stock at 30.29.”

Immediately, he placed a stop-loss order at 31.13, three cents above the peak at turn 5. The target was the EPA line, which varied from day to day because of its slope. He decided to monitor it and sell when the stock touched the line.

“I watched the stock go nowhere for over a week and for me, that's a red flag. I've seen lots of shorts go bad when that happens.” He hoped the gap at